

Power Finance Corporation Ltd

PFC | Financials

ROE	ROCE	OPM
26.2%	3.5%	36.7%
D/E Ratio	Interest Coverage	EPS
8.52	0.6x	■60.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■91,508	■26,461
2023-03	■77,684	■21,179
2022-03	■76,262	■18,768
2021-03	■71,656	■15,716
2020-03	■62,189	■9,477

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Moderate
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility